

PAYTM × LIMINAL CUSTODY SOLUTIONS

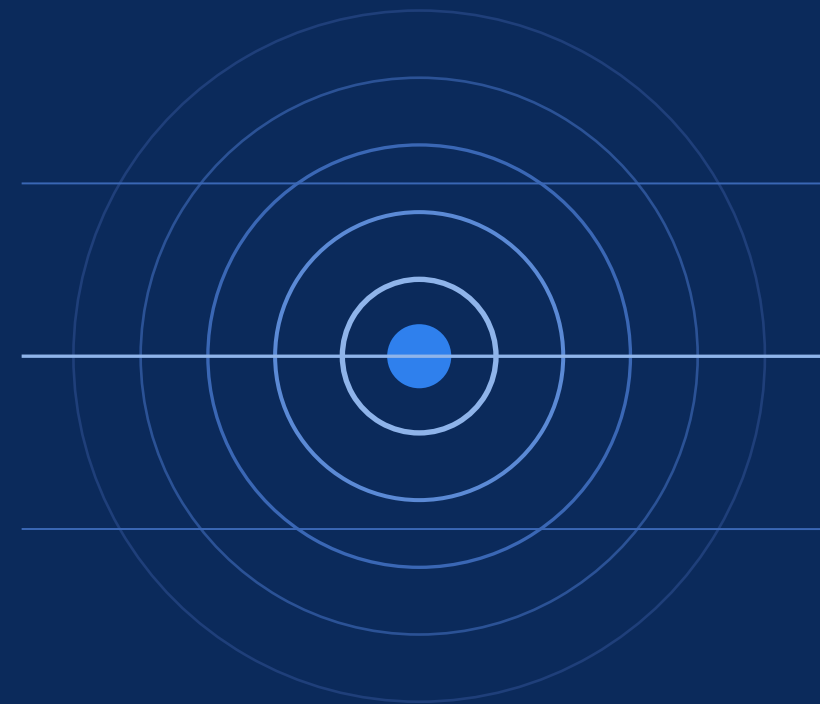
# PROJECT SATOSHI GATE

BOARD TRANSACTION RECOMMENDATION

*Strategic access today. Control only when the economics are proven.*

TEAM ETERNAL

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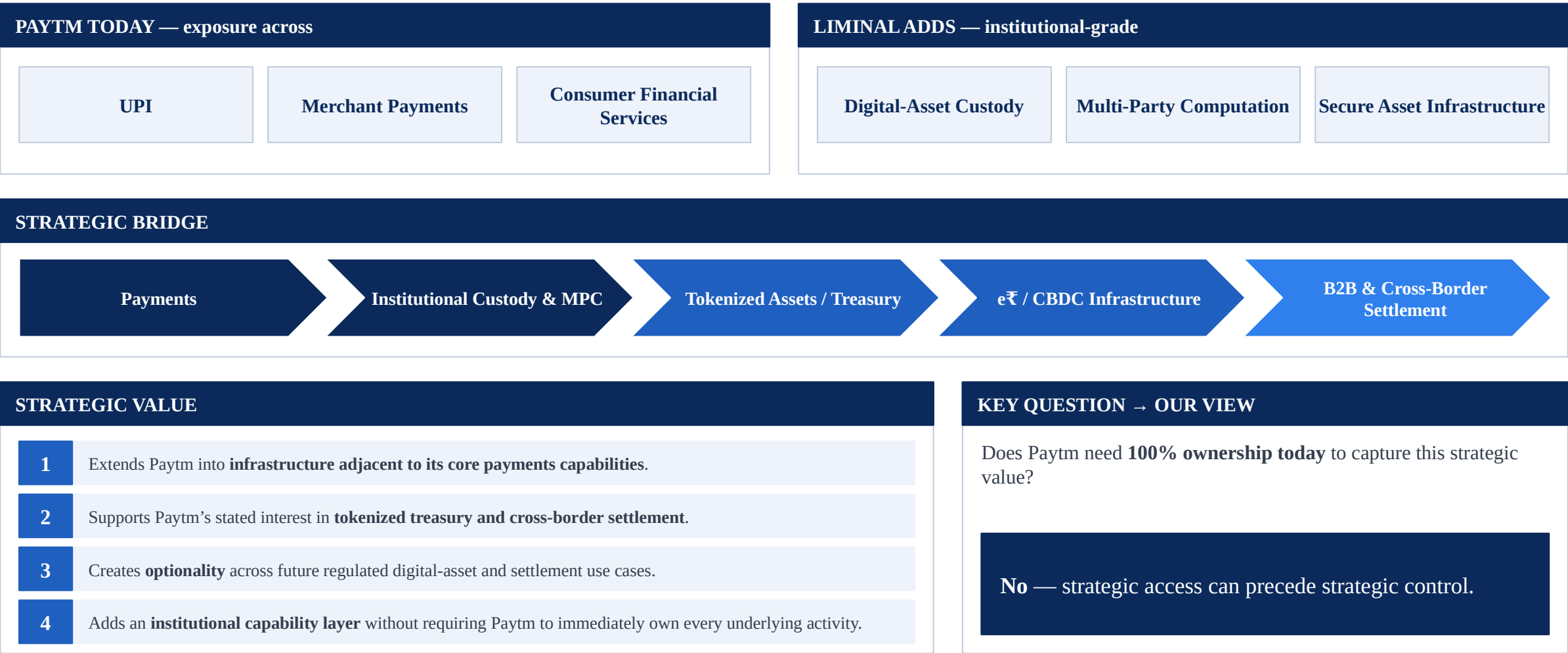
# BOARD RECOMMENDATION

Secure the capability — not the full-control risk

| RECOMMENDATION                                                                                                                                                                                                                                                                                                                                                                                      | WHY THIS STRUCTURE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Do not acquire 100% of Liminal today.</b></p> <p>Pursue a <b>20–30% strategic minority investment</b>, anchored at <b>25%</b> as a midpoint team assumption, combined with:</p> <div><div>Commercial custody/MPC partnership</div><div>Standalone governance</div><div>Pre-agreed call option for future control</div><div>Retention- and performance-linked future consideration</div></div> | <ul style="list-style-type: none"><li>• <b>Strategic fit is real:</b> Liminal provides institutional custody and MPC infrastructure relevant to tokenized assets, e₹/CBDC infrastructure and cross-border settlement.</li><li>• <b>Full control creates value leakage:</b> the case assumes <b>30–45% ARR churn</b> within 12 months after a full acquisition.</li><li>• <b>Regulatory economics are severe:</b> full ownership creates an assumed <b>₹750 Cr recurring annual FCF drag</b>.</li><li>• <b>Near-term earnings support is limited:</b> Liminal is currently approximately <b>PAT breakeven</b>.</li><li>• <b>Staging preserves optionality:</b> Paytm secures strategic access while delaying irreversible control until customer and regulatory outcomes are observable.</li></ul> |
| BOARD ASK                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <div><div>INVEST</div><div>VALIDATE</div><div>EXERCISE / HOLD / WALK AWAY</div></div> <p>Exercise control <b>only after clearing all six gates:</b></p> <div><div>Client Retention</div><div>Regulatory Capital</div><div>Valuation</div><div>PAT</div><div>FCF</div><div>Compliance</div></div>                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

# STRATEGIC RATIONALE

*Liminal can extend Paytm from payments into institutional digital settlement infrastructure*



# THE OWNERSHIP PARADOX

Full ownership risks impairing the very asset Paytm is paying to acquire

## ₹4,000 Cr FULL ACQUISITION CREATES FOUR IMMEDIATE PRESSURES

| 1. CUSTOMER CONFLICT                                                                                                                              | 2. REGULATORY CAPITAL                                                                    | 3. FINANCIAL PRESSURE                                                                                                                                                                 | 4. VALUATION PRESSURE                                                                                                 |
|---------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| <p>Liminal’s major institutional clients may resist having their custody provider owned by a competing payments platform.</p>                     | <p>Full ownership is assumed to trigger bank-like reserves against custodied assets.</p> | <p>Liminal is currently approximately PAT breakeven.</p>                                                                                                                              | <p>Paytm pays ₹4,000 Cr ÷ ₹220 Cr ARR = <b>18.2× headline ARR</b> before accounting for acquisition-driven churn.</p> |
| <p>CASE ASSUMPTION</p> <p>30–45% ARR lost within 12 months</p>                                                                                    | <p>CASE ASSUMPTION</p> <p>₹750 Cr recurring annual FCF drag</p>                          | <p>IMPLICATION</p> <p>Limited acquired earnings initially offset new-share dilution or financing costs.</p>                                                                           | <p>MULTIPLE</p> <p>18.2× headline ARR, pre-churn</p>                                                                  |
| <p>CORE DEAL PARADOX</p> <p>Paytm wants Liminal for its <b>institutional franchise</b> — but taking control may <b>weaken that franchise</b>.</p> |                                                                                          | <p>BOARD IMPLICATION — separate the two questions</p> <div><div>Strategic attractiveness of Liminal</div><div>from</div><div>Economic attractiveness of owning 100% today</div></div> |                                                                                                                       |

# STRATEGIC OPTIONS

Four paths — assessed on strategic access, control, downside and reversibility

|                             | FULL ACQUISITION        | MINORITY STAKE           | JOINT VENTURE            | WALK AWAY                        |
|-----------------------------|-------------------------|--------------------------|--------------------------|----------------------------------|
| Strategic access            | High                    | High through partnership | High within JV scope     | Low                              |
| Control                     | Full                    | Limited                  | Shared                   | None                             |
| Full-control churn exposure | 30–45% case assumption  | Not specified — validate | Not specified — validate | None                             |
| ₹750 Cr capital treatment   | Case assumes applicable | Not specified — validate | Not specified — validate | None                             |
| Upfront commitment          | Highest                 | Lower                    | Structure-dependent      | Nil                              |
| Reversibility               | Low                     | High                     | Medium                   | High                             |
| Future-control optionality  | Already exercised       | Can be preserved         | Can be negotiated        | Lost unless partnership retained |

CONCLUSION

Minority + partnership + call option is the strongest starting structure because it defers the two largest unresolved risks:

Customer response

Regulatory capital treatment

DISCIPLINE

We do **not** assume minority ownership automatically eliminates churn or the ₹750 Cr capital requirement.

These become **validation gates**.

# RECOMMENDED TRANSACTION ARCHITECTURE

Buy optionality first — pay for control only after uncertainty reduces

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div>PHASE 1 — STRATEGIC ENTRY</div> <div><p>Team assumption: <b>25% stake</b> as the midpoint of the permitted 20–30% range. If priced pro-rata to the ₹4,000 Cr headline value:</p><div><div>Illustrative upfront investment = <b>₹1,000 Cr</b></div></div><p><b>Proposed Phase-1 funding:</b></p><ul style="list-style-type: none"><li>• <b>₹1,000 Cr</b> existing balance-sheet cash</li><li>• <b>No</b> new debt</li><li>• <b>No</b> new equity issuance</li><li>• Paytm gross cash remains approximately <b>₹7,900 Cr</b> before fees</li></ul></div> | <div><div>+ COMMERCIAL PARTNERSHIP</div><div><p>Secure contractual access to Liminal’s custody/MPC infrastructure for agreed Paytm use cases.</p></div></div> <div><div>+ GOVERNANCE RING-FENCE</div><div><p>Preserve operational, client-data and institutional independence.</p></div></div> <div><div>+ PRE-AGREED CALL OPTION</div><div><p>Paytm receives the <b>right</b> — <b>not obligation</b> — to acquire control after a defined validation period.</p></div></div> | <div>FUTURE-CONTROL PRICING PRINCIPLE</div> <div><p>Future consideration capped at the <b>lower of:</b></p><div><div><div>1</div><div>Agreed headline valuation mechanics</div></div><div><div>2</div><div>Retained-ARR / performance-based value</div></div></div><p><b>subject to:</b></p><div><div><div>client retention</div><div>regulatory capital treatment</div><div>financial performance</div><div>agreed valuation cap</div><div>customary transaction adjustments</div></div></div></div> |
| <div>TRANSACTION LOGIC</div> <div><div><div>Pay for <b>strategic access</b> today.</div></div><div><div>Pay for <b>control</b> only after the retained value is observable.</div></div></div>                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |

# CASE FACTS VS TEAM ASSUMPTIONS

Keep the model auditable: separate facts, calculations and assumptions

| CASE FACTS — PAYTM    |                   | CASE FACTS — LIMINAL / DEAL |                                      | TEAM ASSUMPTIONS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |  |
|-----------------------|-------------------|-----------------------------|--------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Metric                | Value             | Metric                      | Value                                | <div><div><ul style="list-style-type: none"><li>Initial ownership: 25% midpoint</li><li>Indicative minority investment: ₹1,000 Cr pro-rata</li><li>Initial funding: existing cash</li><li>Validation period</li><li>Minority/JV churn</li><li>Minority/JV regulatory capital treatment</li><li>Liminal ARR growth</li><li>EBITDA / PAT / FCF margins</li></ul></div><div><ul style="list-style-type: none"><li>Debt cost and tax rate</li><li>WACC / required return</li><li>Integration costs</li><li>Synergies</li><li>MDR-to-PAT / FCF conversion</li><li>Call-option mechanics</li><li>Future-control valuation methodology</li></ul></div></div> |  |
| Market capitalization | ₹1,18,750 Cr      | Headline acquisition value  | ₹4,000 Cr                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| Diluted shares        | 64 Cr             | Headline consideration      | ₹2,100 Cr cash + ₹1,900 Cr equity    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| Cash                  | ₹8,900 Cr         | ARR                         | ₹220 Cr                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| Gross debt            | ₹350 Cr           | Current PAT                 | ~ breakeven                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| Revenue               | ₹8,450 Cr         | Four largest clients        | 60% of ARR                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| EBITDA                | ₹640 Cr           | Full-acquisition churn      | 30–45%                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| PAT                   | ₹480 Cr           | Full-control capital drag   | ₹750 Cr annual FCF                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| Diluted EPS           | ₹7.50             | UPI MDR benefit to Paytm    | ₹115 Cr/year incremental net revenue |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| Credit rating         | CRISIL AA– Stable |                             |                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |

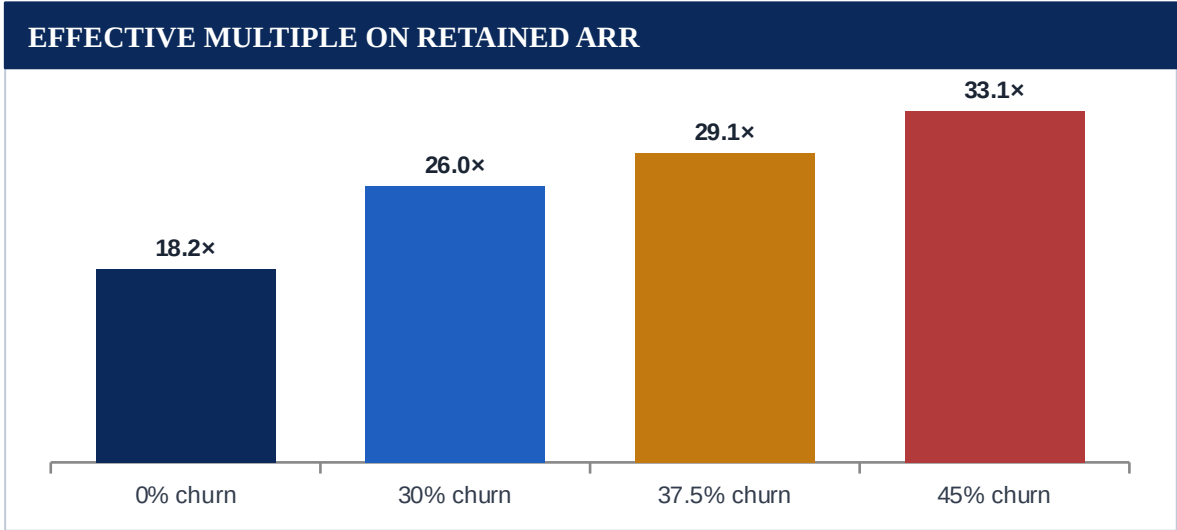
MODELING PRINCIPLE: CASE FACT ≠ DERIVED CALCULATION ≠ TEAM ASSUMPTION

Every material assumption must be disclosed and sensitivity-tested.

# VALUATION & CHURN

18.2× headline ARR becomes 26–33× on retained ARR under full-control churn

| HEADLINE VALUATION · ₹4,000 Cr ÷ ₹220 Cr ARR = 18.2× ARR |          |              |                          |
|----------------------------------------------------------|----------|--------------|--------------------------|
| Full-control churn                                       | ARR lost | Retained ARR | ₹4,000 Cr / Retained ARR |
| 0%                                                       | ₹0 Cr    | ₹220 Cr      | 18.2×                    |
| 30%                                                      | ₹66 Cr   | ₹154 Cr      | 26.0×                    |
| 37.5%                                                    | ₹82.5 Cr | ₹137.5 Cr    | 29.1×                    |
| 45%                                                      | ₹99 Cr   | ₹121 Cr      | 33.1×                    |



| VALUE AT THE ORIGINAL 18.2× MULTIPLE |              |               |
|--------------------------------------|--------------|---------------|
| Churn                                | Retained ARR | Implied value |
| 30%                                  | ₹154 Cr      | ~₹2,800 Cr    |
| 37.5%                                | ₹137.5 Cr    | ~₹2,500 Cr    |
| 45%                                  | ₹121 Cr      | ~₹2,200 Cr    |

| REVENUE RECOVERY HURDLE                   |                     |                 |
|-------------------------------------------|---------------------|-----------------|
| After churn                               | Retained → original | Growth required |
| 30%                                       | ₹154 Cr → ₹220 Cr   | +42.9%          |
| 45%                                       | ₹121 Cr → ₹220 Cr   | +81.8%          |
| ... just to recover the original ARR base |                     |                 |

| STRUCTURING RESPONSE                                                                                                |                         |
|---------------------------------------------------------------------------------------------------------------------|-------------------------|
| Deferred Consideration                                                                                              | Earn-Out                |
| CVR                                                                                                                 | Retention-Linked Payout |
| KEY MESSAGE: Do not pay ₹4,000 Cr unconditionally for revenue that may disappear because of the acquisition itself. |                         |

# FINANCING & EPS IMPACT

Stage the capital commitment to protect liquidity, leverage and dilution

FULL-ACQUISITION COUNTERFACTUAL

Headline consideration

₹2,100 Cr cash + ₹1,900 Cr equity

If ₹2,100 Cr is funded entirely from existing cash:

| Cash               | Before    | After     |
|--------------------|-----------|-----------|
| Balance-sheet cash | ₹8,900 Cr | ₹6,800 Cr |

Illustrative equity dilution

| Step                                             | Value                     |
|--------------------------------------------------|---------------------------|
| Implied Paytm share price (₹1,18,750 Cr ÷ 64 Cr) | ≈ ₹1,855/share            |
| ₹1,900 Cr equity consideration                   | ≈ 1.02 Cr new shares      |
| Pro-forma diluted shares                         | ≈ 65.02 Cr                |
| EPS if PAT remains ₹480 Cr                       | ≈ ₹7.38 vs ₹7.50 baseline |

MECHANICAL DILUTION

≈ 1.6%

mechanical EPS dilution: ₹7.38 vs ₹7.50 baseline

...before:

- financing costs
- acquired earnings
- synergies
- integration costs
- other transaction effects

BOARD MESSAGE

Financing should follow risk resolution — not precede it.

RECOMMENDED PHASE-1 STRUCTURE

Illustrative ₹1,000 Cr cash investment for 25%

| Item                           | Phase 1    |
|--------------------------------|------------|
| Cash remaining                 | ~₹7,900 Cr |
| New debt                       | Nil        |
| New shares                     | Nil        |
| Immediate share-count dilution | Nil        |

FUTURE-CONTROL FINANCING PRINCIPLE

Do not pre-commit the full financing mix today. At exercise:

- preserve sufficient liquidity
- protect rating headroom
- cap leverage
- avoid excessive equity dilution
- use contingent consideration where value remains uncertain

# PAT & FCF BREAKEVEN

The deal must clear two separate hurdles: accounting accretion and cash-flow viability

|                                                                                                                                                                                                                                                                         |  |         |                                                                                                                                                                                                                                                                                                                                              |                 |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|
| 1. ACCOUNTING / PAT TEST                                                                                                                                                                                                                                                |  |         | 2. CASH / FCF TEST                                                                                                                                                                                                                                                                                                                           |                 |  | CRITICAL DISTINCTION — THE ₹115 Cr UPI MDR                                                                                                                                                                                                                                                                                                                                                                                                          |  |  |
| <div>Incremental PAT =</div> <div>Liminal PAT</div> <div>+ Realized operating synergies</div> <div>– Financing costs</div> <div>– Integration / operating costs</div> <div>– Other incremental expenses</div> <div>Pro-Forma EPS = Pro-Forma PAT ÷ Diluted Shares</div> |  |         | <div>Incremental FCF =</div> <div>Liminal FCF</div> <div>+ Realized cash synergies</div> <div>+ Applicable MDR cash contribution</div> <div>– ₹750 Cr capital drag</div> <div>– Integration / other cash costs</div> <div>Starting position: Liminal ≈ PAT breakeven → limited acquired earnings to offset dilution or financing costs</div> |                 |  | <div>The ₹115 Cr UPI MDR benefit is <b>incremental Paytm net revenue</b>. It is:</div> <div><ul style="list-style-type: none"><li>• <b>not</b> automatically ₹115 Cr PAT</li><li>• <b>not</b> automatically ₹115 Cr FCF</li><li>• <b>not</b> created by acquiring Liminal</li></ul></div> <div>Treatment: model it separately as a Paytm standalone corporate benefit / offset, using an explicit revenue-to-PAT / FCF conversion assumption.</div> |  |  |
| WHAT THE CASE DOES NOT PROVIDE FOR LIMINAL                                                                                                                                                                                                                              |  |         |                                                                                                                                                                                                                                                                                                                                              |                 |  | CONTROL-EXERCISE RULE                                                                                                                                                                                                                                                                                                                                                                                                                               |  |  |
| FCF                                                                                                                                                                                                                                                                     |  | margins |                                                                                                                                                                                                                                                                                                                                              | capex           |  | Do <b>not</b> exercise control until the model demonstrates:                                                                                                                                                                                                                                                                                                                                                                                        |  |  |
| working capital                                                                                                                                                                                                                                                         |  | growth  |                                                                                                                                                                                                                                                                                                                                              | financing costs |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |  |
| Therefore, a specific breakeven year must be <b>assumption-driven and sensitivity-tested</b> .                                                                                                                                                                          |  |         |                                                                                                                                                                                                                                                                                                                                              |                 |  | <div>credible <b>PAT / EPS breakeven</b></div> <div>+</div> <div>credible <b>FCF breakeven</b> after regulatory capital requirements</div>                                                                                                                                                                                                                                                                                                          |  |  |

# CUSTOMER RETENTION & GOVERNANCE

Protect the institutional franchise through structural independence

CONCENTRATION RISK

60%

- HDFC Bank
- Axis Bank
- CoinDCX
- ZebPay

= 60% of Liminal ARR  
=  
₹132 Cr of ₹220 Cr

Full-control churn assumption

₹66–99 Cr ARR lost

equivalent to approximately 50–75% of the ARR represented by the four largest relationships

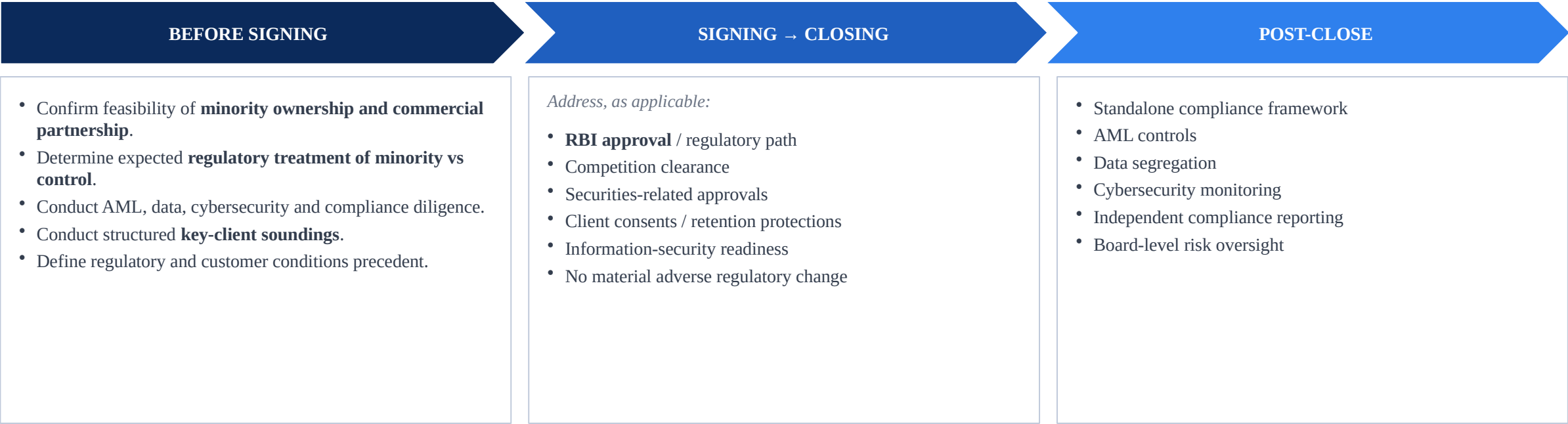
CORE MESSAGE:

Governance is not cosmetic — it is a valuation-protection mechanism.

| GOVERNANCE ARCHITECTURE |                                                  |                                                                               |
|-------------------------|--------------------------------------------------|-------------------------------------------------------------------------------|
| #                       | Mechanism                                        | What it does                                                                  |
| 1                       | Standalone Liminal brand                         | Preserve institutional neutrality.                                            |
| 2                       | Arm’s-length board                               | Independent directors + clearly defined reserved matters.                     |
| 3                       | Strict information barriers                      | No unrestricted Paytm access to client-sensitive custody or transaction data. |
| 4                       | Independent compliance & cybersecurity oversight | Separate monitoring, escalation and reporting.                                |
| 5                       | Neutral service standards                        | No preferential treatment for Paytm-linked activity.                          |
| 6                       | Client-protection framework                      | Structured communication, consent and change-of-control management.           |
| 7                       | Retention-linked consideration                   | Align seller economics with preservation of the institutional franchise.      |

# REGULATORY & CLOSING ARCHITECTURE

Resolve regulatory capital treatment before committing to control



**MOST IMPORTANT UNRESOLVED QUESTION**

Does minority ownership **avoid, reduce or still trigger** the ₹750 Cr capital requirement?

*The case does not specify the answer.*

**HARD DECISION GATE**

Do **not** exercise full control until regulatory capital treatment is **known and incorporated into the FCF model**.

# COMPETITIVE & DOWNSIDE RESPONSE

Strategic urgency must not become a winner’s curse

PHONEPE–MASTERCARD THREAT

The exploratory consortium creates a **strategic opportunity cost** if Paytm walks away. However, the case provides:

- no competing valuation
- no competing transaction terms
- no quantified bidder synergies
- no certainty of completion

PAYTM RESPONSE

Do not automatically match a higher bid.

Set a risk-adjusted reservation value based on:

retained ARR

capital treatment

client retention

financing impact

PAT / FCF economics

strategic optionality

If another bidder exceeds Paytm’s reservation value: **walk away** rather than destroy shareholder value.

BOARD PRINCIPLE

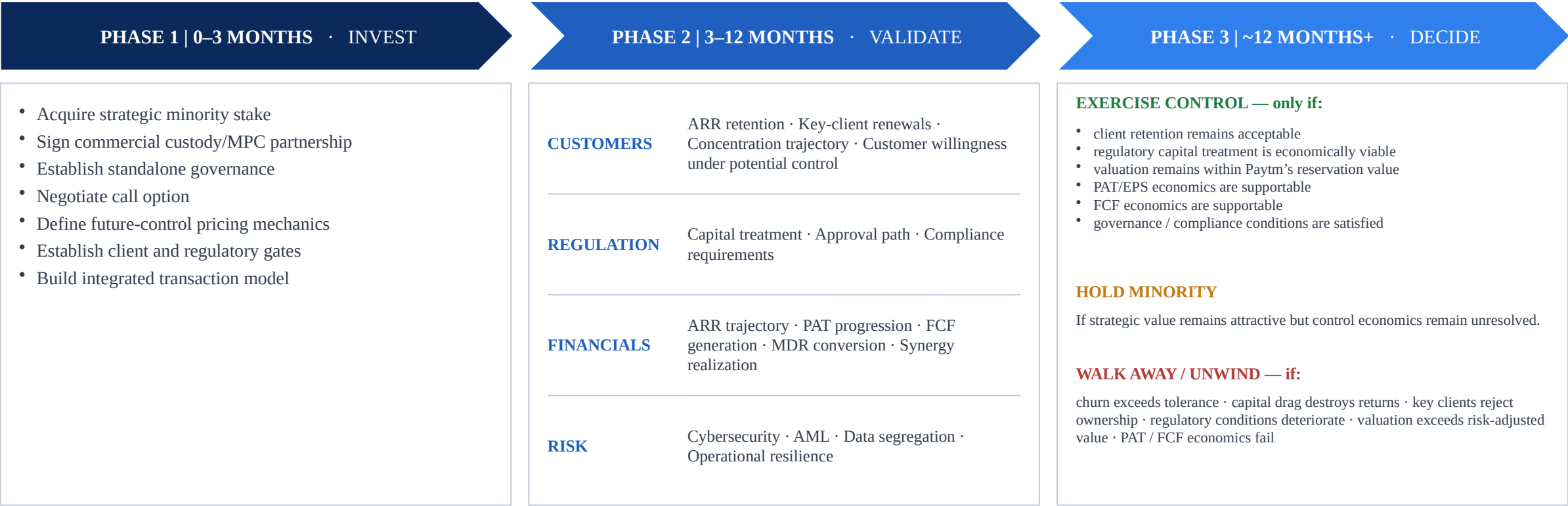
Competitive pressure may change **timing** — it should **not** change valuation discipline.

DOWNSIDE PLAYBOOK

| Trigger                               | Response                                                                    |
|---------------------------------------|-----------------------------------------------------------------------------|
| Churn > 45%                           | Do not exercise control / activate price protection / reassess partnership. |
| Capital requirement unacceptable      | Remain minority / restructure / exit.                                       |
| Key clients resist                    | Strengthen ring-fence; no control exercise without acceptable retention.    |
| Paytm share price compresses          | Avoid fixed-value equity issuance that creates excessive dilution.          |
| PAT / FCF case fails                  | Do not escalate capital because of sunk cost.                               |
| Regulatory / security conditions fail | Suspend exercise / terminate where contractual rights permit.               |

# IMPLEMENTATION ROADMAP & DECISION GATES

Invest → Validate → Exercise / Hold / Walk Away



|                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| FINAL BOARD MESSAGE | Paytm should not pay today for risks it can observe tomorrow. Secure Liminal’s strategic infrastructure through a <b>minority investment and commercial partnership</b> . Preserve the <b>right — not obligation</b> — to acquire control. Commit the remaining capital only after <b>client trust, regulatory capital treatment, valuation and cash-flow economics are proven</b> . <b>Strategic access now. Control only when value is protected.</b> |
|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

# APPENDIX A1–A2

Transaction model key inputs · Churn sensitivity

| A1 · PAYTM            |                   |
|-----------------------|-------------------|
| Input                 | Value             |
| Market capitalization | ₹1,18,750 Cr      |
| Diluted shares        | 64 Cr             |
| Cash                  | ₹8,900 Cr         |
| Gross debt            | ₹350 Cr           |
| Revenue               | ₹8,450 Cr         |
| EBITDA                | ₹640 Cr           |
| PAT                   | ₹480 Cr           |
| EPS                   | ₹7.50             |
| Rating                | CRISIL AA– Stable |

| A1 · LIMINAL & RISKS                                                                                                                                                                    |              |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| Input                                                                                                                                                                                   | Value        |
| Headline value                                                                                                                                                                          | ₹4,000 Cr    |
| ARR                                                                                                                                                                                     | ₹220 Cr      |
| Headline multiple                                                                                                                                                                       | 18.2× ARR    |
| Current PAT                                                                                                                                                                             | ~ breakeven  |
| Top-four-client concentration                                                                                                                                                           | 60%          |
| ARR churn (full control)                                                                                                                                                                | 30–45%       |
| Capital FCF drag (full control)                                                                                                                                                         | ₹750 Cr/year |
| <div><div><div><div>PAYTM CORPORATE OFFSET</div><div>UPI MDR:<br/>₹115 Cr/year incremental net revenue.</div></div><div><div>Not a Liminal transaction synergy.</div></div></div></div> |              |

| A2 · CHURN SENSITIVITY                                                                                                                                                                                                                                                                            |          |              |                    |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|--------------|--------------------|
| Churn                                                                                                                                                                                                                                                                                             | ARR lost | Retained ARR | Effective multiple |
| 0%                                                                                                                                                                                                                                                                                                | ₹0 Cr    | ₹220 Cr      | 18.2×              |
| 30%                                                                                                                                                                                                                                                                                               | ₹66 Cr   | ₹154 Cr      | 26.0×              |
| 37.5%                                                                                                                                                                                                                                                                                             | ₹82.5 Cr | ₹137.5 Cr    | 29.1×              |
| 45%                                                                                                                                                                                                                                                                                               | ₹99 Cr   | ₹121 Cr      | 33.1×              |
| <div><div><div><div>RECOVERY HURDLE</div><div><div><div>+42.9%</div><div>30% churn: ₹154 Cr → ₹220 Cr</div></div><div><div>+81.8%</div><div>45% churn: ₹121 Cr → ₹220 Cr</div></div></div><div><div>Growth required <i>merely to recover the original ARR base.</i></div></div></div></div></div> |          |              |                    |

# APPENDIX A3–A4

Retention-linked value framework · EPS / dilution bridge

A3 · RETENTION-LINKED VALUE — at the original 18.2× ARR multiple

| Churn | Retained ARR | Implied value | Value gap vs ₹4,000 Cr |
|-------|--------------|---------------|------------------------|
| 0%    | ₹220 Cr      | ₹4,000 Cr     | —                      |
| 30%   | ₹154 Cr      | ~₹2,800 Cr    | ~₹1,200 Cr             |
| 37.5% | ₹137.5 Cr    | ~₹2,500 Cr    | ~₹1,500 Cr             |
| 45%   | ₹121 Cr      | ~₹2,200 Cr    | ~₹1,800 Cr             |

STRUCTURING PRINCIPLE

Upfront consideration = strategic access

Contingent consideration = retained economic value

Future-control price should remain subject to:

valuation cap

retained ARR

performance

regulatory outcome

| A4 · EPS / DILUTION BRIDGE — full-acquisition illustration |                           |
|------------------------------------------------------------|---------------------------|
| Step                                                       | Value                     |
| Implied Paytm share price: ₹1,18,750 Cr ÷ 64 Cr            | ≈ ₹1,855                  |
| ₹1,900 Cr equity consideration                             | ≈ 1.02 Cr new shares      |
| Pro-forma diluted shares                                   | ≈ 65.02 Cr                |
| EPS, assuming PAT remains ₹480 Cr                          | ≈ ₹7.38                   |
| Baseline EPS                                               | ₹7.50                     |
| Approximate mechanical dilution                            | ~1.6%                     |
| ...before:                                                 |                           |
| financing expense                                          | acquired earnings         |
| synergies                                                  |                           |
| integration costs                                          | other transaction effects |

# APPENDIX A5

PAT vs FCF breakeven

| ACCOUNTING / PAT                |  |
|---------------------------------|--|
| Component                       |  |
| Liminal PAT                     |  |
| + Synergies                     |  |
| – Financing costs               |  |
| – Integration / operating costs |  |
| = Incremental PAT               |  |
| ↓ Pro-Forma EPS                 |  |

| CASH / FCF                         |  |
|------------------------------------|--|
| Component                          |  |
| Liminal FCF                        |  |
| + Cash synergies                   |  |
| + Applicable MDR cash contribution |  |
| – ₹750 Cr capital drag             |  |
| – Integration cash costs           |  |
| = Incremental FCF                  |  |

**KEY RULE**      **PAT breakeven ≠ FCF breakeven.** Both must be demonstrated **independently** before exercising full control.

# APPENDIX A6–A7

Risk register & mitigants · Board decision tree

| A6 · RISK REGISTER & MITIGANTS |                                                 |
|--------------------------------|-------------------------------------------------|
| Risk                           | Transaction response                            |
| 30–45% full-control churn      | Minority first + retention-linked consideration |
| 60% top-client concentration   | Standalone governance + client protections      |
| ₹750 Cr annual capital drag    | Regulatory gate before control                  |
| 18.2× headline valuation       | Retained-value pricing + valuation cap          |
| Immediate equity dilution      | Stage consideration; avoid Phase-1 issuance     |
| Rating / leverage pressure     | No Phase-1 debt; reassess at control exercise   |
| PhonePe–Mastercard counterbid  | Reservation value + walk-away discipline        |
| Paytm stock compression        | Avoid excessive fixed-value equity dilution     |
| AML / data / cyber risk        | Independent compliance + information barriers   |
| >45% churn                     | No control exercise / remediation / unwind      |
| Regulatory deterioration       | Condition precedent / termination protection    |
| Weak PAT / FCF economics       | Do not escalate capital                         |

| A7 · BOARD DECISION TREE                                                |                                                                                                                                                                               |
|-------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| STEP 1                                                                  | Is Liminal strategically valuable to Paytm?<br><br>YES ↓                                                                                                                      |
| STEP 2                                                                  | Can Paytm secure strategic access without immediate full control?<br><br>YES — Minority + Commercial Partnership ↓                                                            |
| STEP 3                                                                  | Are client retention and regulatory capital outcomes acceptable after validation?<br><br>YES → Test valuation + PAT + FCF economics   NO → Hold minority / restructure / exit |
| STEP 4                                                                  | Does full control clear Paytm’s risk-adjusted financial and governance hurdles?<br><br>YES → Exercise call option   NO → Do not acquire control                               |
| END STATE: Control becomes an earned option — not a day-one commitment. |                                                                                                                                                                               |